Code (CrPC), Labour Laws, Company Laws and enacting suitable Legal provisions for new areas like Cyber Law, etc.

(v) Reforms in the Critical Areas:

The second generation reforms also commit to suitable reforms in the infrastructure sector (i.e. power, roads, especially as the telecom has been encouraging), agriculture, agricultural extension, education and the healthcare, etc. These areas have been called by the Government as the ***'critical areas'.***[35]

These reforms have two segments. The first segment is similar to the Factor Market Reforms, while the second segment includes a broader dimension to the reforms viz. corporate farming, research and development in the agriculture sector (which was till now basically taken care of by the Government and needs active participation of the private sector), irrigation, inclusive education and the healthcare.

Other than the above-given focus of this generation of the reforms, some other important areas were also emphasised:

(a) **State's Role in the Reform** For the first time, an important role to the state was designed, in the process of economic reforms. All new steps of the reforms were now to be started by the state with the centre playing a supportive role.

(b) **Fiscal Consolidation** The area of fiscal consolidation though it was a major co-ordinate of reform in India since 1991 itself, gets a constitutional commitment and responsibility. The FRBM Act is passed by the Centre and the Fiscal Responsibility Act (FRAs) is followed by the states as an era of new commitments to the fiscal prudence starts in the country.

(c) **Greater Tax Devolution to the States** Though there was such a political tendency[36] by the mid-1990s itself, after the second generation reforms started, we see a visible change in the central policies favouring greater fiscal leverage to the states. Even the process of tax reforms takes the same dimension. Similarly, the Finance Commissions as well as the Planning Commission start